AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

YETI Holdings

NYSE : YETI · Mature-Company DCF

$3.12B mkt cap · 73M sh · $60M cash, $101M debt · ~$41M net debt after a ~$131M Q2 buyback; $370M authorization left (no dividend); Revenue $1.87B FY25 (+2% trough), H1'26 +8.4%; +7-8% FY26 sales outlook held Aug + Sep '26; ~$212M FCF; US drinkware flat on three trend SKUs; Stanley/Owala/dupes; China <5% of COGS

22 October 2026 · the qualitative

$42.77

THE CENTRAL QUESTION

Is YETI a durable premium brand re-accelerating via international + new categories — or a saturated, fad-cyclical US drinkware brand whose +2% trough caps the multiple?

YETI trades at ~$3.1B (≈$42.8/sh), ~15x FY25 free cash flow on $1.87B revenue. Growth troughed at +2% in FY2025 and re-accelerated to +8.4% in H1'26 on wholesale + international. In August management held its +7-8% FY26 sales outlook while reporting flat US drinkware (three trend SKUs cycling out); Q2 margins carried a one-time ~$43M tariff-refund credit. The DCF asks whether international + new categories + margin recovery offset the saturating core. Weighted fair value ~$48 sits ~13% above spot and the modal base ~18% above, with 45% of the probability below the price.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +17.9% · 45% at or below spot

$48.28 expected fair value today

+12.9% vs spot $42.77

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$75.99	$119.68	$188.65	$297.62
1.78× spot	2.80× spot	4.41× spot	6.96× spot

WEIGHTING RATIONALE

Ultra Bear 15% Fad fades; dupes win; ~$22 (-49%).
Bear 30% US saturated; tariff drag; ~$37 (-14%).
Base 33% Intl + categories offset US; ~$50 (+18%).
Bull 17% Intl ramps; bags/cookware; ~$74 (+72%).
Ultra Bull 5% Durable multi-category global brand; ~$96 (+124%).

Bull (17%) + Ultra Bull (5%) together contribute $17.32 — 36% of the $48.28 expected value despite 22% combined probability. Today's spot ($42.77) sits 11% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $21.78

-49.1% vs spot

CAGR -1.0% WACC 11.0%
CAGR -1.0% Prob 15%

Fad fades; dupes win; US drinkware shrinks.

BEAR — $36.85

-13.8% vs spot

CAGR +2.2% WACC 10.0%
CAGR +2.2% Prob 30%

US saturated; modest; tariff drag lingers.

BASE — $50.42

+17.9% vs spot

CAGR +4.6% WACC 9.5%
CAGR +4.6% Prob 33%

International + categories offset US; margin recovers.

BULL — $73.66

+72.2% vs spot

CAGR +7.0% WACC 9.0%
CAGR +7.0% Prob 17%

International ramps; bags/cookware traction.

ULTRA BULL — $96.00

+124.5% vs spot

CAGR +9.4% WACC 8.5%
CAGR +9.4% Prob 5%

Durable multi-category global brand.

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YETI Holdings scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected $48.28 (+12.9% vs spot)

ULTRA BEAR — $21.78

-49.1% vs spot

Probability 15%

Fad fades; dupes win; US drinkware shrinks.

WHY 15%

The fad-cyclical bear: drinkware is ~58% of sales and brand heat rotates fast. 15% weight on the trend turning against YETI.

WHAT HAPPENS

The viral tumbler trend rotates away (Stanley→Owala->next), RTIC/private-label dupes arbitrage the premium, and the international/category bets don't offset a shrinking US core. Revenue declines; margins stay tariff-pressured.

DCF ~$22 (-49%) — a fad-exposed brand losing its core earns a distressed multiple.

BEAR — $36.85

-13.8% vs spot

Probability 30%

US saturated; modest; tariff drag lingers.

WHY 30%

US drinkware stays saturated and the trend doesn't reverse. 30% weight — the plausible 'stalls' path given the +2% trough.

WHAT HAPPENS

The US core stays saturated and tariffs keep margins below peak; international + categories grow but only enough to keep the total roughly flat-to-low.

DCF ~$37 (-14%) — a dominant-but-stalled brand at ~11x FCF, below today's price.

BASE — $50.42

+17.9% vs spot

Probability 33%

International + categories offset US; margin recovers.

WHY 33%

Requires international + new categories + margin recovery, consistent with H1'26's +8.4% and China <5% of COGS. 33% as the central outcome.

WHAT HAPPENS

The modal path: international (toward 25% of revenue) + bags/cookware offset a stabilizing US core, and margins recover as tariffs annualize and China-sourcing exits. Revenue compounds ~5%.

DCF ~$50 (+18%) — modestly above today's price; the growth/margin recovery H1'26's +8.4% hints at.

BULL — $73.66

+72.2% vs spot

Probability 17%

International ramps; bags/cookware traction.

WHY 17%

International + new categories deliver and margins recover. ~17%; the diversification strategy is credible but unproven at scale.

WHAT HAPPENS

International scales past 25%, Mystery Ranch bags + cookware become real categories, and margins recover toward mid-teens — the brand proves durable beyond fad-cyclical drinkware.

DCF ~$74 (+72%) — category + geographic diversification re-rates the brand.

ULTRA BULL — $96.00

+124.5% vs spot

Probability 5%

Durable multi-category global brand.

WHY 5%

Full category + geographic diversification works and the brand de-fads. ~5%, the asymmetric upside.

WHAT HAPPENS

YETI becomes a durable multi-category premium-outdoor brand (drinkware + coolers + bags + cookware) with international as a second engine, compounding ~10% at recovered margins.

DCF ~$96 (+124%) — the brand transcends the drinkware fad; ~5% probability.

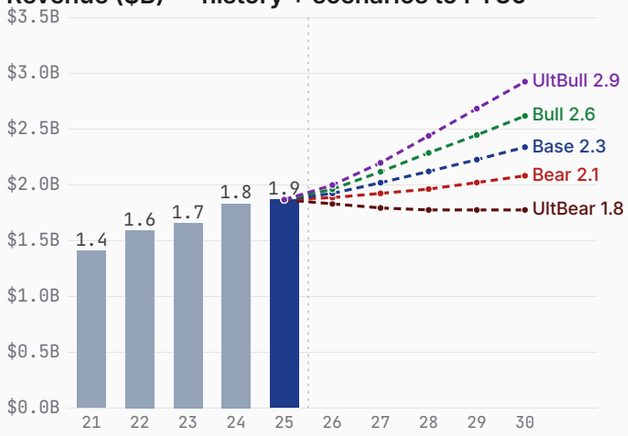
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YETI Holdings business snapshot

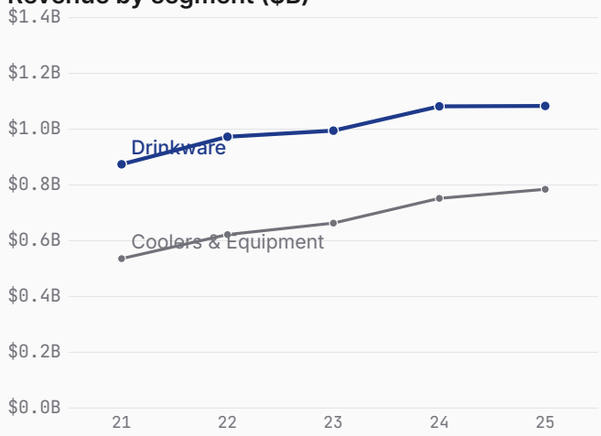
Bear $36.85 Base $50.42 Bull $73.66

FY21-FY25 history + FY26-FY30 scenario projections · 52/53-week fiscal year · FY2025 (Jan'26) + H1'26 results

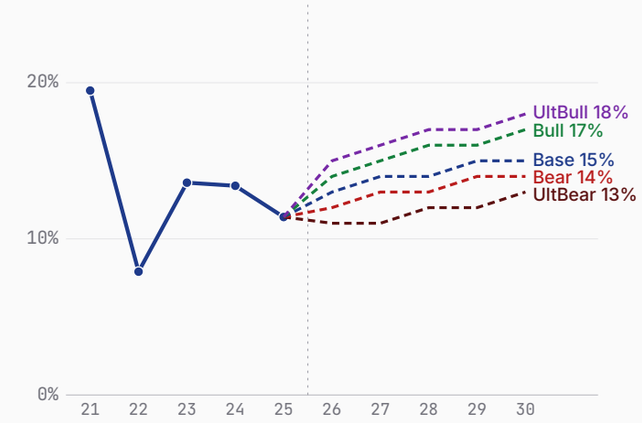
Revenue ($B) — history + scenarios to FY30



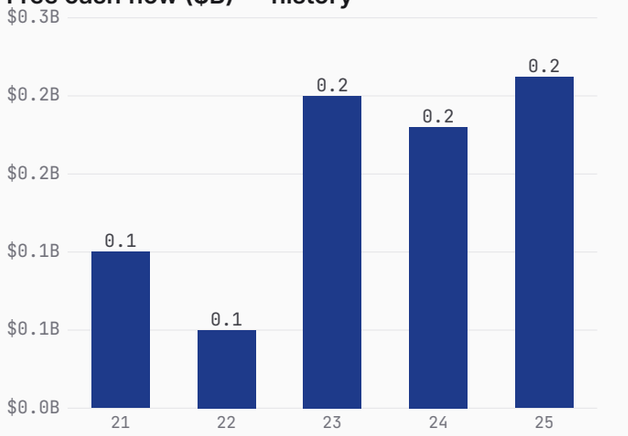
Revenue by segment ($B)



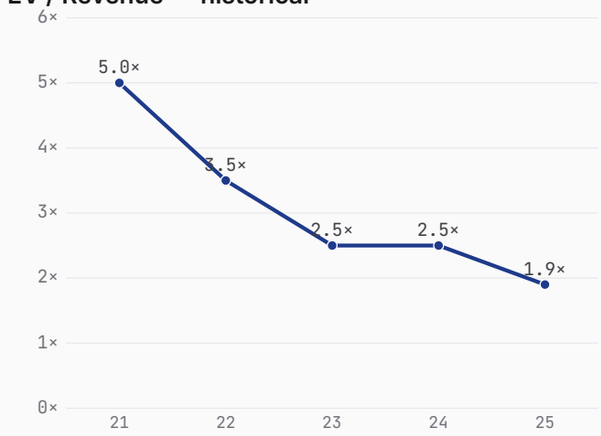
Op margin — history + scenarios



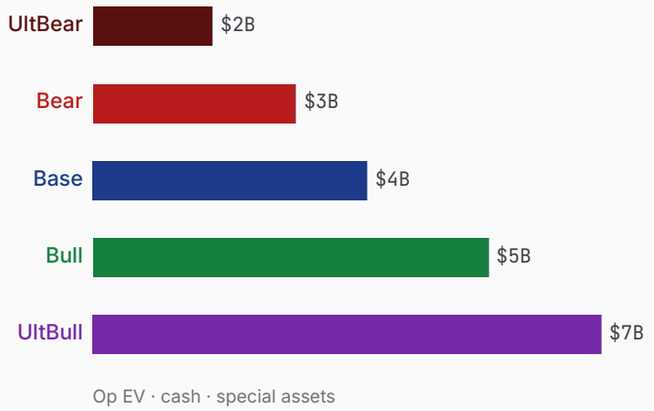
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV − net debt)



Sources: YETI FY2025 results (year ended Jan 3, 2026; revenue $1.87B, FCF $212M); H1'26 10-Q (Jul 4, 2026: cash $60M, debt $101M, 73.0M shares, $68.7M tariff-refund receivable; H1 revenue +8.4%). Bridge cash adds the refund receivable after 24.3% tax (~$52M). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal. EV/FCF vs Helen of Troy (Hydro Flask) + Newell.

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YETI Holdings 7 Powers · the moat, scored

Bear $36.85 Base $50.42 Bull $73.66

Arena. Premium outdoor drinkware + gear — YETI (brand, ~60% DTC, drinkware + coolers + new bags/cookware) vs Stanley, Owala, Hydro Flask (Helen of Troy), RTIC, Newell; defending a premium brand Power in a fad-cyclical core.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	Sourcing/marketing leverage at ~$1.9B revenue; modest vs housewares conglomerates.
Network Economies	Community/ambassador affinity, not a hard network.
Counter-Positioning	Premium incumbent; dupes counter-position on price.
Switching Costs	Weak — drinkware is a discretionary, swappable purchase.
Branding ◂ thesis leans here	The dominant Power: premium pricing + outdoor credibility — durable in coolers/gear, contestable in viral tumblers.
Cornered Resource	Brand IP + design + durability reputation; real but copyable.
Process Power	Design/sourcing learning curve; modest.

PEER SET

Stanley (PMI/HAVI) · private
US unit leader; viral surge cooling (~50% search decline 2025).

Owala · private
Fastest-growing brand (+~60% search); took the viral baton from Stanley.

Hydro Flask (Helen of Troy) · 10% mgn · ~9x P/E
Cleanest public peer; Home & Outdoor was shrinking (~-7%), but company sales rose 8.2% in the May-2026 quarter and FY27 guidance was raised.

RTIC / private label · private
Explicit price-dupe of YETI; arbitrages the premium.

THREAT VECTORS · FALSIFIERS

Branding · Owala / Stanley / dupes
falsifier: Management-reported US drinkware sales decline year over year in two consecutive quarters after the year-end re-baseline (FY26-FY27) as viral share rotates to Owala/Stanley.

Scale Economies · Tariffs / sourcing
falsifier: Adjusted operating margin, excluding one-time tariff refunds, stays below 14% in both FY26 and FY27.

Counter-Positioning · Private label / RTIC
falsifier: Sustained price competition forces YETI off its full-price model.

COMPETITIVE READ

YETI's brand Power is durable in coolers/outdoor gear but genuinely contestable in its fad-cyclical drinkware core (~58% of sales), where viral heat rotates (Stanley→Owala) and dupes arbitrage the premium. International (toward 25%) + new categories (bags/cookware) + margin recovery (China <5% of COGS) are the diversification offsets. At ~15x FY25 FCF the modal path sits ~18% above spot; the sign hinges on whether growth holds ~5% a year after FY26 (the low end of management's FY26-30 framework) as US drinkware re-baselines.

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YETI Holdings show your work

Bear $36.85 Base $50.42 Bull $73.66 · Weighted $48.28 (+12.9%)

ULTRA BEAR $21.78

ASSUMPTIONS

5y revenue CAGR (%)	-1.0
Year-5 op margin (%)	13.0
WACC (%)	11.0
Terminal growth (%)	0.0
Terminal FCF ($B)	$0.18B
Starting revenue ($B)	1.87
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.83	+11%	+0.17	+0.15
FY27	1.79	+11%	+0.16	+0.13
FY28	1.78	+12%	+0.16	+0.12
FY29	1.78	+12%	+0.18	+0.12
FY30	1.78	+13%	+0.18	+0.11

Σ PV explicit FCF	+0.62
+ PV terminal (g 0.0%)	0.96

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.58B
+ Cash & investments	$0.11B
− Total debt	$0.10B
= Equity value	$1.59B
FY30 shares (M)	73
= Expected per share	**$21.78**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$36.70	$61.84	$104.21	$175.60
0.86×	1.45×	2.44×	4.11×

BEAR $36.85

ASSUMPTIONS

5y revenue CAGR (%)	+2.2
Year-5 op margin (%)	14.0
WACC (%)	10.0
Terminal growth (%)	1.5
Terminal FCF ($B)	$0.25B
Starting revenue ($B)	1.87
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.89	+12%	+0.19	+0.17
FY27	1.92	+13%	+0.21	+0.17
FY28	1.96	+13%	+0.22	+0.16
FY29	2.02	+14%	+0.24	+0.17
FY30	2.08	+14%	+0.25	+0.15

Σ PV explicit FCF	+0.83
+ PV terminal (g 1.5%)	1.85

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.68B
+ Cash & investments	$0.11B
− Total debt	$0.10B
= Equity value	$2.69B
FY30 shares (M)	73
= Expected per share	**$36.85**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$59.35	$95.58	$153.93	$247.91
1.39×	2.23×	3.60×	5.80×

BASE $50.42

ASSUMPTIONS

5y revenue CAGR (%)	+4.6
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	2.0
Terminal FCF ($B)	$0.30B
Starting revenue ($B)	1.87
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.92	+13%	+0.21	+0.19
FY27	2.02	+14%	+0.24	+0.20
FY28	2.12	+14%	+0.26	+0.19
FY29	2.23	+15%	+0.29	+0.20
FY30	2.34	+15%	+0.30	+0.19

Σ PV explicit FCF	+0.99
+ PV terminal (g 2.0%)	2.63

EQUITY BUILD · $B & PER SHARE

Operating EV	$3.62B
+ Cash & investments	$0.11B
− Total debt	$0.10B
= Equity value	$3.63B
FY30 shares (M)	72
= Expected per share	**$50.42**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$79.37	$124.95	$196.70	$309.66
1.86×	2.92×	4.60×	7.24×

BULL $73.66

ASSUMPTIONS

5y revenue CAGR (%)	+7.0
Year-5 op margin (%)	17.0
WACC (%)	9.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.39B
Starting revenue ($B)	1.87
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.96	+14%	+0.23	+0.22
FY27	2.12	+15%	+0.28	+0.23
FY28	2.29	+16%	+0.32	+0.25
FY29	2.45	+16%	+0.34	+0.24
FY30	2.62	+17%	+0.39	+0.26

Σ PV explicit FCF	+1.19
+ PV terminal (g 2.5%)	4.03

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.22B
+ Cash & investments	$0.11B
− Total debt	$0.10B
= Equity value	$5.23B
FY30 shares (M)	71
= Expected per share	**$73.66**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$113.34	$174.38	$268.31	$412.82
2.65×	4.08×	6.27×	9.65×

ULTRA BULL $96.00

ASSUMPTIONS

5y revenue CAGR (%)	+9.4
Year-5 op margin (%)	18.0
WACC (%)	8.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.47B
Starting revenue ($B)	1.87
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.00	+15%	+0.26	+0.24
FY27	2.20	+16%	+0.31	+0.26
FY28	2.44	+17%	+0.37	+0.29
FY29	2.68	+17%	+0.40	+0.29
FY30	2.93	+18%	+0.47	+0.31

Σ PV explicit FCF	+1.39
+ PV terminal (g 2.5%)	5.32

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.71B
+ Cash & investments	$0.11B
− Total debt	$0.10B
= Equity value	$6.72B
FY30 shares (M)	70
= Expected per share	**$96.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$144.35	$217.05	$326.38	$490.76
3.38×	5.07×	7.63×	11.47×

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YETI Holdings People · Opportunity · Context · Deal

Bear $36.85 Base $50.42 Bull $73.66

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Matt Reintjes

10 yrs in seat

18%
insider ownership

LOW
key-person risk

Capital allocation (realized)
No dividend; capital returned via buybacks — ~$500M / ~13M shares repurchased over FY2024-FY2025 (~14% of shares out), incl. 8.2M shares / ~$298M in FY2025; the board re-loaded the authorization to $500M (May 2026), then repurchased 2.8M shares at a $46.47 average (~$131M) in Q2 FY26, leaving $370M. M&A is small/tuck-in and cash-funded: Mystery Ranch (bags) + Butter Pat (cast-iron cookware), ~$48.5M total cash (Q1 2024) — new-category capability, not transformational. The Q2 buyback, funded partly by a net $30M revolver draw, took the balance sheet from ~$114M net cash at FY-end to ~$41M net debt at Jul 4 2026; capex funds capacity and new categories.

Incentive alignment
Reintjes FY2024 total ~$7.8M ($1.03M salary · ~$1.67M bonus · ~$5.12M stock) — ~85%+ at-risk/equity. LTI is 75% performance RSUs / 25% time RSUs; the PBRSUs vest on 3-yr cumulative free-cash-flow with a relative-TSR modifier (90%-of-target threshold, 200% cap, 3-yr cliff). Pay-for-performance, FCF + TSR-linked.

GOVERNANCE FLAGS

- single-class — one share, one vote (no super-voting / dual-class)
- combined Chair & CEO since Aug 7 2026 (Reintjes named Chair), mitigated by a Lead Independent Director (Robert Shearer, the prior independent Chair); board of 10, 9 independent
- classified / staggered board (three classes, three-year terms)
- founders no longer on the board — Roy Seiders resigned as a director eff. May 2021 (no disagreement); Ryan Seiders not a director
- founders retain large economic stakes (Ryan ~15%, Roy ~2%); Cortec Group (PE, majority 2012) fully exited; now institutionally held

THE FOUR LEGS

People
observable composite · 1–5



Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
+12.9% vs spot $42.77

PEOPLE READ

Professionalized and single-class: a 10-yr hired CEO on FCF + relative-TSR pay, a clean one-share-one-vote register with no controller and PE fully exited, buybacks (~$630M since FY2024) and only small cash-funded tuck-ins. Scored 3, not 4: since Aug 2026 the CEO also chairs the board, and although a Lead Independent Director mitigates that, it now stacks on a classified board; the deep brand expertise still sits with the now-absent founders.

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YETI Holdings supporting analysis · disclaimers · glossary

Bear $36.85 Base $50.42 Bull $73.66

PUSHBACK · WHY THE BASE CASE IS TOO GENEROUS

1 **US drinkware is flat.**
Q2 US drinkware was flat on a ~600bp drag from three trend SKUs; the risk is that the year-end 're-baseline' becomes the run-rate in a ~58%-of-sales category.

2 **Q2's margin beat was one-time.**
Gross margin of 66.7% (vs 57.8%) includes a ~$43M one-time tariff-refund credit to cost of goods; excluding it, gross margin was roughly flat.

3 **SG&A is outrunning sales.**
Q2 SG&A rose 17.1% to 47.3% of sales (from 43.9%) on 8.5% sales growth; margin recovery needs that spend to pay off.

4 **Cash is tighter than it looks.**
A ~$131M Q2 buyback took YETI to ~$41M net debt; supplier-finance obligations rose to $90M from $54M in H1, flattering operating cash flow.

5 **H2 must beat H1 to hit the guide.**
FY25's Q4 had 14 weeks ($583.7M); +7-8% for FY26 needs ~10-12% like-week H2 growth, above H1's +8.4%.

FALSIFICATION TRIGGERS

Bull validation

international passes 25% of revenue · bags/cookware become reported needle-movers · adj op margin, ex one-time tariff refunds, recovers above 16% · FY26-30 FCF tracks above the $1.4B top of management's framework

Bear validation

US drinkware declines YoY in two straight quarters after the year-end re-baseline · Owala/Stanley/dupes keep taking share · FY26-30 FCF tracks below the $1.2B framework floor · new categories stall

Reframe needed

if drinkware brand heat structurally rotates away (the fad ends), re-rate the core toward a commodity-housewares multiple

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

Author may hold positions.

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Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Drinkware — YETI's tumbler/bottle core (~58% of sales, higher margin) — the fad-cyclical, most-contested category.

Mystery Ranch / Butter Pat — 2024 acquisitions: technical bags (premium-bag TAM $9B+) + cast-iron cookware — the new-category diversification bets.

Dupes — Lower-priced look-alikes (RTIC, private label) + viral challengers (Stanley, Owala) eroding the drinkware premium.

Branding — Helmer Power: premium pricing + community/ambassadors + durability reputation — durable in outdoor, contestable in faddish tumblers.

FCF margin — Free cash flow / revenue (~11% FY25, tariff-compressed); the mature-DCF lever as margins recover.